

Name :- Muhammad Obaid

Roll.No :- CT-23025

Department :- CSIT-A

FCA - Assignment

Q 1.4 A

Assets	Liabilities
Motor Vehicles	Creditors for goods
Premises	Owing to bank
Stock of goods	Loan from D Jones.
Debtors	
Cash in Hand	
Machinery	

Q 1.6 A

Headings shown under wrong head of account are :-

Creditors, Capital, Machinery, Motor Vehicles

Q 1.8 A

Assets :-

Current Assets :-

Stock = 2800

Bank = 200

Cash = 175

Long Term Assets :-

Fixtures = 1200

Van = 6000

Total Assets = 10,375

Liabilities :-

Current Liabilities

Acc payable = 1600

Loan from BRub = 2500

Owner Equity

Capital = 6275

Total Liabilities = 10,375

So capital amounted from balance-sheet is 6275.

Q 1.10 A

Assets

Current Assets:-

Stock of goods = 3600

Debtors = 4500

Bank = 2800

Total Current Assets = 10,900

Fixed Assets

Equipment = 3400

Total Assets = 14,300

Liabilities

Current Liabilities:-

Creditors = 4100

Owner Equity:-

Capital = 10,200

Total liabilities = 14,300

Q 1.12 A
Effect upon

	Assets	Liabilities	Capital
a)	+ Van	+ Creditors	
b)	- Cash	- Loan from F. Puff	
c)	+ Stock, - Bank		
d)	+ Cash		+ Capital
e)	+ Stock, - Debtors		
f)	+ Stock	+ Creditors	
g)	- Cash		- Capital
h)	- Bank	- Creditors	

Assets		Liabilities		Owner Equity
Equipment + Car + Stock + Dehtor + Bank + Cash		Creditor		Capital
a)	6200 + 7300 + 8100 + 4050 + 9100 + 195 + 110	=	2800 + 110	32,145
b)	6310 + 7300 + 8100 + 4050 + 9100 + 195 + 380	=	2910	32,145
	6310 + 7300 + 8480 + 4050 + 8720 + 195	=	2910	32,145
c)	6310 + 7300 + 8480 + 4050 + 7570 + 195	=	1760	32,145
d)	6310 + 7300 + 8480 + 3320 + 8210 + 285	=	1760	32,145
e)	6310 + 7300 + 8480 + 3320 + 9510 + 485	=	1760	33,645

Q 1.14A

Balance Sheet on 1st Dec 20x9

Assets

Current Assets:-

Stock	=	8480
Debbor	=	3320
Bank	=	9510
Cash	=	485

Total Current Assets = 21,795

Fixed Assets:-

Equipment	=	6310
Car	=	7300

Total Fixed Assets = 13,610

Total Assets = 35,405

Liabilities:-

Current Liabilities:-

Creditor = 1760

Owner Equity:-

Capital = 33,645

Total Liabilities = 35,405

Q 2.5 A

Bank

June 1	Capital	16,000
June 25	Cash	400

16,400

b/f = 2240

c/f =

16,000

June 2 Van 6400

June 12 Cash 180

June 19 C.Cors Ltd 7100

June 30 Fixtures 480

14,160

= 2240

16,400

Capital

June 1 Bank 16,000

b/f =

16,000

Van

June 2	Bank	6400
June 8	C.Cars Ltd	7100

13,500

c/f = 13,500

b/f = 13,500

Fixtures

June 5	Old-Ltd	900
June 15	Cash	120
June 30	Bank	480

1500

c/f = 1500

b/f = 1500

c/f = 900

Old Ltd

June 5	Fixtures	<u>900</u>
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b/f = 900

Carton Cars Ltd

June 19	Bank	<u>7100</u>
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June 8	Van	<u>7100</u>
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Cash

June 12	Bank	180
June 21	B Berry	500
		<u>680</u>

June 15	Fixtures	120
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June 25	Bank	400
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520

c/f = 160

b/f = 160

680 B Berry

680

c/f = 500

June 21	Cash	<u>500</u>
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b/f = 500

Q 2.6 A

Cash

March 1 Capital 750
 March 8 Bank 200

 950

 950

b/f = 100

March 3 Computer 600
 March 24 B Blane 250

 850

 c/f = 100
950

Bank

March 1 Capital 9000
 March 2 B Blane 2000

 11,000

 11,000

b/f = 9880

March 8 Cash 200
 March 15 B Blane 500
 March 17 Clearconvt Ltd 420

 1120

 c/f = 9880
11,000

Capital

 c/f = 9750

March 1 Cash 750
 March 1 Bank 9000

 9750

B Blane b/f = 9750

March 15 Bank 500
 March 24 B Cash 250

 750
 c/f = 1250

 2000

March 3 Cash

 b/f = 600
600

Computer

 b/f = 2000
 c/f = 600

March 2 Bank 2000

Display Equipment

March 5	Clearconut Ltd	<u>420</u>	c/f	=	420
	b/f	=	420		

Clearconut Ltd

March 17	Bank	<u>420</u>	March 5	Display Eqp	<u>420</u>
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Printer

March 31	F Jones	<u>200</u>	c/f	=	4 200
	b/f	=	200		

F Jones

c/f	=	<u>200</u>	March 31	Printer	<u>200</u>
			b/f	=	200

Q 7.1

Account Title	£	£	£	£
Revenue:-			190,576	
Sales				190,576
Net Sales:-				
Cost of goods sold:-	119,832			
Purchases		119,832		
Cost of good available for sale		<u>12,408</u>		
Less Ending Inventory				<u>107,424</u>
Cost of good sold				83,152
Gross Profit				
Less Operating Exp:-		56,527		
Salaries Exp		2416		
Motor Exp		1894		
Rent Exp		372		
Insurance Exp		85		
General Exp				<u>61,294</u>
Net Profit				<u>21,858</u>

Q 7.2

Account Title	£	£	£	£
Revenue:-				
Sales:-				265,900
Less Cost of goods sold:-				
Purchases		154,870		
Less Ending Inventory		<u>16,280</u>		
Cost of goods available for sale				<u>138,590</u>
Gross Profit				127,310
Less Operating Exp				
Rent Exp		4,200		
Lighting and heating		530		
Insurance Exp		2,100		
Salaries & wages Exp		51,400		
Sundry Exp		412		
Motor Exp		<u>4,110</u>		
Net Profit				<u>62,752</u>
				<u>64,558</u>

Q 7.3

Account Title	£	£	£	£
Revenue: -				
Sales				235,812
Less Cost of goods sold:				
Purchases		121,040		
Less Ending Inventory		14,486		
Cost of good available for sale				<u>106,554</u>
Gross Profit				129,258
Less Operating Exp:-				
General Exp		305		
Business rates		2,400		
Motor Exp		910		
Salaries Exp		39,560		
Insurance Exp		1,240		<u>44,415</u>
Net Profit				<u>84,843</u>

Q 7.4

Account Title	£	£	£	£
Revenue: -				
Sales				382,420
Less Cost of goods sold:				
Purchases		245,950		
Less Ending Inventory		29,304		
Cost of goods available sale				<u>216,646</u>
Gross Profit				165,774
Less Operating Exp:-				
Equipment Rental Exp		989		
Insurance Exp		1,804		
Lighting and heating		1,990		
Motor Exp		2,350		
Salaries & wages Exp		48,580		
Sundry Exp		<u>624</u>		<u>56,288</u>
Net Profit				<u>109,486</u>

Q 7-5

Cash

March 1	Capital	100	March 6	Wages	39
March 8	Sales	152	March 11	Sundry Exp	73
March 26	Sales	94	March 24	Wages	39
			March 31	Bank	45
					<u>196</u>
				c/f	<u>150</u>
					<u>346</u>

b/f

346

150 Bank

March 1	Capital	5,672	March 14	Purchases	800
March 4	W Abbot	1,246	March 18	J Sanders	385
March 10	Gr Smart	315	March 23	Office exp	100
March 31	Cash	45	March 28	Salaries	230

7,278

c/f

1,3155,9637,278

b/f =

c/f

7,278 Capital5,772

March 1

Cash

100

March 1

Capital

5,672

5,772

b/f

5,772

Sales

c/f

1,492

March 4

W Abbot

1,246

March 8

Cash

152

March 26

Sales

94

1,492

W Abbot

b/f

1,492

March 4

Sales

1,246

March 4

Bank

1,246

		Wages		
March 6	Cash	39	c/f	<u>78</u>
March 24	Cash	39		
		<u>78</u>		
	b/f	78		
c/f		67 Smart		

<u>344</u>	March 10	Bank	315
	March 10	Discount Allow	29
			<u>344</u>

		Discount Allowed	b/f	344
March 10	Smart	<u>29</u>	c/f	<u>29</u>
	b/f	29		

March 11	Cash	<u>73</u>	Sundry Expenses c/f	<u>73</u>
	b/f	73		

		Purchases		
March 14	Bank	<u>800</u>	c/f	<u>800</u>
	b/f	800		

		J Sanders		
March 18	Bank	<u>1885</u>	c/f	<u>201</u>
March 18	Disc Received	16		
		<u>201</u>		

	b/f	201	Discount Received	
c/f		<u>16</u>	March 18	J Sanders
				<u>16</u>
			b/f	16

		Office Expenses		
March 23	Bank	<u>100</u>	c/f	<u>100</u>
	b/f	100		

		Salaries		
March 28	Bank Bank	<u>230</u>	c/f	<u>230</u>
	b/f	230		

Account Title		£	£	£	£
Revenue: -					
Sales				1,492	1,492
Less Cost of goods sold:-					
Purchases					
Less Sales discount			29	(29)	
Net Sales					1,463
Less Cost of goods sold:					
Total Purchases		800			
Less Purchase discount	16	(16)			
Net Purchase			784		784
Cost of goods sold					<u>679</u>
Gross profit					
Less Operating Exp:-					
Wages		78			
Sundry Expenses		73			
Office Exp		100			
Salaries Exp		230			481
Net Profit					<u>198</u>

Date	Account Title	Debit	Credit
July -1	Bank	5,000	
	Cash	1,000	
	Capital		6,000
July -2	Stationary	75	
	Bank		75
July -3	Purchases / Goods	2,100	
	T Smart		2,100
July -4	Cash	340	
	Sales		340
July -5	Insurance	290	
	Cash		290
July -7	Computer	700	
	J Hott		700
July -8	Expenses	32	
	Bank		32
July -10	C Biggins	630	
	Sales		630
July -11	T Smart	550	
	Goods return		550
July -14	Wages	210	
	Cash		210
July -17	Rent	225	
	Bank		225
July 20	Bank	400	
	C Biggins		400
July 21	J Hott	700	
	Bank		700
July -23	Stationery	125	
	News. Ltd		125
July -25	F Tank	645	
	Sales		645
July -31	News. Ltd	125	
			125

Q 4.4
Bank

Feb 1	Capital	11,000
Feb 24	K Fletcher	250
Feb 28	Business rates	45

Feb 5	Stationery	60
Feb 16	Business rates	97
Feb 19	Rent	75
Feb 28	J Biggs	830
Feb 28	D Martin	425
Feb 28	B Black	6,100

		8,452
	c/f	2,843
		<u>11,295</u>

	b/f	2,843
Feb 1	Capital	1,600

Feb 3	Purchases	370
Feb 4	Rent	75
Feb 7	Wages	160
Feb 11	Rent	75
Feb 18	Insurance	280
Feb 21	Motor Exp	24
Feb 23	Wages	170

	b/f	1,600
c/f		<u>12,600</u>

	c/f	1,154
		446
		<u>1,600</u>
Feb 1	Bank	11,000
Feb 1	Cash	1,600

12,600

Feb 2	J Biggs	830
Feb 2	D Martin	610
Feb 2	P Lot	590
Feb 3	Cash	370

	b/f	12,600
c/f		<u>2,400</u>

2,400

b/f	2,400
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Feb 28	Bank	J Biggs <u>830</u>	Feb 2	Purchases	<u>830</u>
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Feb 10	Return Outwards	D Martin 195	Feb 2	Purchases	<u>610</u>
Feb 28	Bank	<u>415</u>			
		<u>610</u>			

c/f		P Lot <u>590</u>	Feb 2	Purchases	<u>590</u>
				b/f	590

Feb 4	Cash	Rent 75	c/f	<u>225</u>
Feb 11	Cash	75		
Feb 19	Bank	75		
		<u>225</u>		
	b/f	225		

Feb 5	Bank	Stationery <u>62</u>	c/f	<u>62</u>
	b/f	62		

c/f		Sales <u>1,981</u>	Feb 6	D Twigg	370
			Feb 6	B Hogan	290
			Feb 6	K Fletcher	410
			Feb 15	T Lee	205
			Feb 15	F Sharp	280
			Feb 15	G Rae	426
				<u>1,981</u>	
				1,981	
Feb 6	Sales	D Twigg <u>370</u>	c/f	<u>370</u>	
	b/f	370			

		B Hogan	
Feb 6	Sales	<u>290</u>	Feb 13 Return In
	b/f	255	c/f
			<u>35</u>
			<u>255</u>
			<u>290</u>

		K Fletcher	
Feb 6	Sales	<u>410</u>	Feb 24 Bank
	b/f	160	c/f
			<u>250</u>
			<u>160</u>
			<u>410</u>

		Wages	
Feb 7	Cash	160	c/f
Feb 23	Cash	170	
		<u>330</u>	
	b/f	330	<u>330</u>

		Return Outwards	
c/f		<u>195</u>	Feb 10 D Martin
			b/f
			<u>195</u>

		Return Inwards	
Feb 13	B Hogans	<u>35</u>	c/f
	b/f	35	
			<u>35</u>

		T Lee	
Feb 15	Sales	<u>205</u>	c/f
	b/f	205	
			<u>205</u>

		F Sharp	
Feb 15	Sales	<u>280</u>	c/f
	b/f	280	
			<u>280</u>

		G Rae	
Feb 15	Sales	<u>426</u>	c/f
	b/f	426	
			<u>426</u>

		Business Rates	
Feb 16	Bank	<u>970</u>	Feb 28 Bank
	b/f	925	c/f
			<u>45</u>
			<u>925</u>
			<u>970</u>

Feb 18	Cash	<u>280</u>	Insurance	
	b/f	280	c/f	<u>280</u>
Feb 20	B Black	<u>6,100</u>	Van	
	b/f	6,100	c/f	<u>6,100</u>
Feb 28	Bank	<u>6,100</u>	B Black	
			Feb 20	Van
				<u>6,100</u>
Feb 21	Cash	<u>24</u>	Motor Expenses	
	b/f	24	c/f	<u>24</u>

Q 4.6

- Goods bought on trade credit for £27,000.
- Bought land and buildings on loan of £35,000.
- Sold goods costing £20,000 for £30,000 on credit (to trade debtors) resulting £10,000 increment in profit in capital.
- Debtors paid £13,000 via cheque.
- Debtors paid £2,000. This amount was withdrawn by owner (proprietor).
- Took £5,000 drawings by cheque and paid off £3,000 accrued expenses by cheque.
- Equipment worth £30,000 sold. £21,000 was paid by cheque while £9,000 withdrawn by owner.
- Goods worth £1,000 were taken by proprietor for own use.
- Took £6,000 cash as drawings. Also it could have been £6,000 cash ~~st~~ was stolen causing a loss.

Q 1.2 H

$$\text{Assets} = \text{Liabilities} + \text{Capital}$$

- a) 38,100
- b) 51,600
- c) 7,600
- d) 104,100
- e) 26,000
- f) 159,000

Q 1.3 H

Assets	Liabilities
a) Loan to C Shirley	b) Bank overdraft
c) Fixtures and fittings	e) We owe a supplier for goods
d) Computers	
f) Warehouses we own	

Q 2.1

Account to be debited	Account to be credited
a) Office machinery	D Isaacs Ltd
b) C Jones	Capital
c) Cash	N Fox
d) P Exeter	Bank
e) D Isaacs Ltd	Office machinery
f) Bank	N Lyn
g) Van	Cash

Q 2.2 A

Debited
 Lorry
 T Lake
 P Logan's loan
 Cash
 Office machinery
 Cash
 Bank
 Bank
 Cash
 D Lord

Credited
 Cash
 Bank
 Cash
 Lorry
 Ultra Ltd
 A Hill
 J Cross
 Capital
 L Lowe
 Cash

Q 2.3

Bank

July 1	Capital	15,000	July 2	Furniture	1,200
			July 5	Van	6,010
			July 15	Trees Ltd	1,400
			July 31	Bank	650
					9,260
				c/f	<u>5,740</u>
		<u>15,000</u>			<u>15,000</u>
		5,740			
b/f		<u>15,000</u>	July 1	Bank	<u>15,000</u>
c/f		<u>15,000</u>		b/f	15,000

Furniture

July 2	Bank	<u>1,200</u>	July 8	D Trig & Sons	150
				c/f	<u>1,050</u>
		<u>1,200</u>			<u>1,200</u>
		1,050			
b/f					

		Machinery	
July 3	Trees Ltd	1,400	c/f
July 31	Bank	650	
		<u>2,050</u>	
	b/f	2,050	

		Trees Ltd	
July 15	Bank	1,400	July 3 Machinery
		<u>1,400</u>	<u>1,400</u>

		Van	
July 5	Bank	6,010	c/f
	b/f	6,010	

		D Twig & Sons	
July 8	Furniture	150	July 23 Cash
		<u>150</u>	<u>150</u>

		Cash	
July 23	D Twig & Sons	150	c/f
	b/f	150	

		Q 2.4	
		Bank Cash	
June 1	Capital	12,000	June 2 Bank
June 25	Equipment	200	11,700
June 28	Bank	130	June 25 Equipment
			200
		<u>12,130</u>	
	b/f	830	c/f
			<u>11,700</u>
			<u>830</u>
			<u>12,130</u>

Capital

c/f

12,000 June 1

Cash

12,000

b/f

12,000

Cash Bank

June 2 Cash 11,700

June 30 F Brow 4,000

15,700

b/f

8,540

June 5 Dream Ltd 1,900

b/f

1,780

June 8 Van 5,250

June 26 Dream Ltd 1,780

June 28 Cash 130

7,160

c/f

8,540

15,700

Office Furniture

June 26 Dream Ltd 120

c/f

1,780

1,900

Dream Ltd

June 18 Furniture 120

June 26 Bank 1,780

1,900

June 5 Office Furniture 1,900

Van

June 8 Bank 5,250

b/f

5,250

c/f

5,250

Equipment

June 12 Peace & Sons 2,300

b/f

2,100

June 25 Cash 200

c/f

2,100

2,300

Peace & Sons

c/f

2,300

June 12 Equipment 2,300

b/f

2,300

c/f

F Brown
4,000 June 30Bank
b/f4,000
4,000

Q 3-5

Bank

July 1	Capital	20,000
July 6	Cash	200

July 25	B Brown	2,924
July 29	Abd Cars Ltd	4,370

20,200

b/f

13,906

c/f

6,294
<u>413,906</u>
<u>20,200</u>

c/f

22,500

Capital

July 1	Bank	20,000
July 28	Cash	2,500

22,500

b/f

22,500

Cash

July 2	R Hughes	5,000
July 4	Goods	1,910
July 24	Cash	110
July 28	Capital	2,500

July 6	Bank	200
July 20	Goods	390
July 31	Furniture	365

9,520

b/f

8,565

c/f

5,000

R Hughes

July 2	Cash	5,000
	b/f	5,000

5,000

5,000

Goods

July 3	B Brown	1,530
July 3	I Jess	4,162
July 11	B Brown	488
July 12	H Rise	65
July 20	Cash	390
July 26	G Pale	34

July 4	Cash	1,910
July 8	H Rise	1,374
July 10	P Taylor	341
July 14	G Pale	535
July 14	R Sim	262
July 15	B Brown	94
July 19	I Jess	130
July 24	Cash	110

b/f

2,913

6,669

c/f

<u>4,756</u>
<u>2,913</u>

July 25	Bank	<u>1,924</u>	B Brown	July 3	Goods	1,530
	b/f	394			c/f	<u>394</u>
						<u>1,924</u>

July 29	Goods	<u>230</u>	I Jess	July 3	Goods	<u>4,162</u>
	c/f	4,032			b/f	4,032
		<u>4,162</u>				

July 8	Goods	<u>1,374</u>	H Rise	July 12	Goods	65
	b/f	1,309			c/f	<u>1,309</u>
						<u>1,374</u>

July 10	Goods	<u>341</u>	P Taylor			
	b/f	341			c/f	<u>341</u>

July 15	Goods	<u>94</u>	B Brown	July 11	Goods	<u>488</u>
	c/f	394			b/f	394
		<u>488</u>				

July 14	Goods	<u>535</u>	G Pate	July 26	Goods	34
	b/f	501			c/f	<u>501</u>
						<u>535</u>

July 14	Goods	<u>262</u>	R Sim			
	b/f	262			c/f	<u>262</u>

July 17	Abd Cars Ltd	<u>4,370</u>	Van			
	b/f	4,370			c/f	<u>4,370</u>

July 29	Bank	<u>4,370</u>	Abdreen Cars Ltd	July 17	Van	<u>4,370</u>
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July 18	J Winter Ltd	1,800	Furniture	July 27	J Winter Ltd	180
July 31	Cash	365			c/f	<u>1,985</u>
	b/f	<u>2,165</u>				<u>2,165</u>

J Winter Ltd				
July 27	Furniture	180	July 18 Furniture	1,800
	c/f	<u>1,620</u>	b/f	<u>1,620</u>
		<u>1,800</u>		

Q 3-6 A

Bank

May 1	Capital	18,000	May 21	Printer	620
May 10	Cash	250	May 29	B Hind	1,373
					<u>1,993</u>
		<u>18,250</u>		c/f	16,257
	b/f	16,257			<u>18,250</u>

Capital

c/f	18,000	May 1	Bank	18,000
			b/f	18,000

Goods

May 2	B Hind	1,455	May 5	Cash	210
May 3	G Smart	472	May 6	B Hind	82
May 8	G Smart	370	May 10	P Syme	483
May 10	P Syme	483	May 12	Cash	305
May 23	P Syme	160	May 22	H Buchan	394
May 25	H Buchan	18	May 28	G Smart	47
May 29	Bank	1,373			<u>1,521</u>
		<u>3,848</u>		c/f	2,327
	b/f	2,327			<u>3,848</u>

May 6	Goods	82
	c/f	1,373
		<u>1,455</u>

May 2	Goods	1,455
	b/f	1,373

G Smart

May 28	Goods	47
	c/f	795
		<u>842</u>

May 3	G Smart	472
May 8	Goods	370
		<u>842</u>
	b/f	795

Cash

May 5	Goods	210	May 18	Bank	250
May 12	Goods	305		c/f	265
		<u>515</u>			<u>515</u>
	b/f	265			

P Syme

May 10	Goods	483	May 10	Goods	483
			May 23	Goods	160
	b/f	323		c/f	323
					<u>483</u>

Printer

May 21	Bank	620		c/f	620
	b/f	620			

H Buchan

May 22	Goods	394	May 25	Goods	18
	b/f	376		c/f	376
					<u>394</u>

Machinery

May 31	A Cobb	419		c/f	419
	b/f	419			

A Cobb

	c/f	419	May 31	Machinery	419
				b/f	419

Extra Q 1 (I/S)
Trial Balance

Head of Account	Debit	Credit
		45,000
1- Account payable		
2- Account receivable	25,000	
3- Adv. Exp	5,000	
4- Bank	400,000	
5- Begg. Inv	35,000	
6- Building	500,000	4,129,000
7- Capital		1,129,000
8- Cash	10,000	
9- Drawing	35,000	
10- Insurance Exp	5,000	
11- Plant & Machinery	450,000	
12- Purchase Discount		2,000
13- Purchase return		15,000
14- Purchases	356,000	
15- Prepaid Rent	50,000	
16- Salary Exp	25,000	
17- Sales		770,000
18- Sales discount	10,000	
19- Sales return	20,000	
20- Transportation In	25,000	
21- Prepaid Utility	10,000	
	<u>1,961,000</u>	<u>1,961,000</u>

Income Statement

Account Title		\$	\$	\$	\$
Revenue:-					
Sales				770,000	
Less Sales Return			20,000		
Sales Discount			10,000	(30,000)	
Net Sales					740,000
Cost of goods sold:-					
Beg. Inventory			35,000		
Purchases		356,000			
Add Transportation In		25,000			
Total Purchases		381,000			
Less Purchase Return	15,000				
Purchase discount	2,000	(17,000)			
Net Purchases			364,000		
Cost of goods available for sale			399,000		
Less Ending Inventory			(35,000)		
Cost of goods sold				(364,000)	
Gross Profit					376,000
Less Operating Exp					
Adv Exp			5,000		
Insurance Exp			5,000		
Salary Exp			25,000		
Net Profit					<u>341,000</u>

Balance Sheet

Assets:-

Current Assets:-

Account receivables 25,000

Bank 400,000

~~But~~ Cash 10,000

Prepaid Rent 50,000

Prepaid Utility 10,000

Ending Inventory 35,000

Total Current Assets 530,000

Fixed Assets:-

Building 500,000

Plant & Machinery 450,000

Total Fixed Assets 950,000

Total Assets 1,480,000

Liabilities

Current Liabilities:-

Acc payable 75,000

Owner Equity:-

Capital 1,129,000

Profit 341,000

Drawings (35,000)

Total Liabilities 1,480,000

Extra Q2 (1/5)
Trial Balance

Head of Account	Debit	Credit
1- Account payable		90,000
2- Account receivable	50,000	
3- Adv Exp	10,000	
4- Bank	800,000	
5- Begg Inv	70,000	
6- Building	1,000,000	
7- Capital	2,258,000	2,258,000
8- Cash	20,000	
9- Drawing	70,000	
10- Insurance Exp	10,000	
11- Plant & Machinery	900,000	
12- Purchase Discount		4,000
13- Purchase return		30,000
14- Purchases	712,000	
15- Prepaid Rent	100,000	
16- Salary Exp	50,000	
17- Sales		1,540,000
18- Sales discount	20,000	
19- Sales return	40,000	
20- Transportation. In	50,000	
21- Prepaid Utility	20,000	
	3,922,000	3,922,000

Income Statement

Account Title		\$	\$	\$	\$
Revenue:-				1,540,000	
Sales			40,000		
Less Sales Return			20,000	(60,000)	
Sales discount					
Net Sales					1,480,000
Less Cost of goods sold:-			70,000		
Begin Inventory					
Purchases		712,000			
Add Transportation In		50,000			
Total Purchases		762,000			
Less Purchase Return	30,000				
Purchase discount	4,000	(34,000)			
Net Purchase			728,000		
Cost of goods for sale			798,000		
Less Ending Inventory			(70,000)		
Cost of good sold					(728,000)
Gross Profit					752,000
Less Operating Exp:-					
Adr Exp		10,000			
Insurance Exp		10,000			
Salaries Exp		50,000			
Net Profit					<u>682,000</u>

Balance Sheet

Assets:-

Current Assets:-

Acc receivable	50,000
Bank	800,000
Cash	20,000
Prepaid Rent	100,000
Prepaid Utility	20,000
End. Inv	70,000

Total Current Assets 1,060,000

Fixed Assets:-

Buildings	1,000,000
Plant & Machinery	900,000
Total fixed assets	1,900,000

Total Assets 2,960,000

Liabilities:-

Current Liabilities:-

Acc payable	90,000
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Owner Equity:-

Capital	2,258,000
Profit	682,000
Drawings	(70,000)

Total liabilities 2,960,000